

## Apple Inc. (AAPL)—Buy Recommendation

### Investment Thesis

We are starting a Buy recommendation on Apple Inc. (NASDAQ: AAPL), supported by solid fundamental performance, attractive valuation upside, and multiple catalysts that can drive additional growth. With the next iPhone 17 cycle and additional expansion of high-margin services, Apple is set to sustain its earnings momentum against a negative macroeconomic environment. We believe that the price at hand does not fully capture Apple's long-term value creation capabilities and the potential tailwind from its expanding ecosystem.

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### Valuation

#### *Discounted Cash Flow (DCF) Analysis*

Using a 5-year forecast horizon and conservative assumptions:

- **Revenue CAGR (2025–2029):** 6.5%
- **EBIT Margin:** 30%
- **Tax Rate:** 16%
- **WACC:** 8.0%
- **Terminal Growth Rate:** 2.5%

Our DCF yields an **intrinsic value of \$215 per share**, suggesting a 20% upside from the current market price (\$179 as of March 2025).

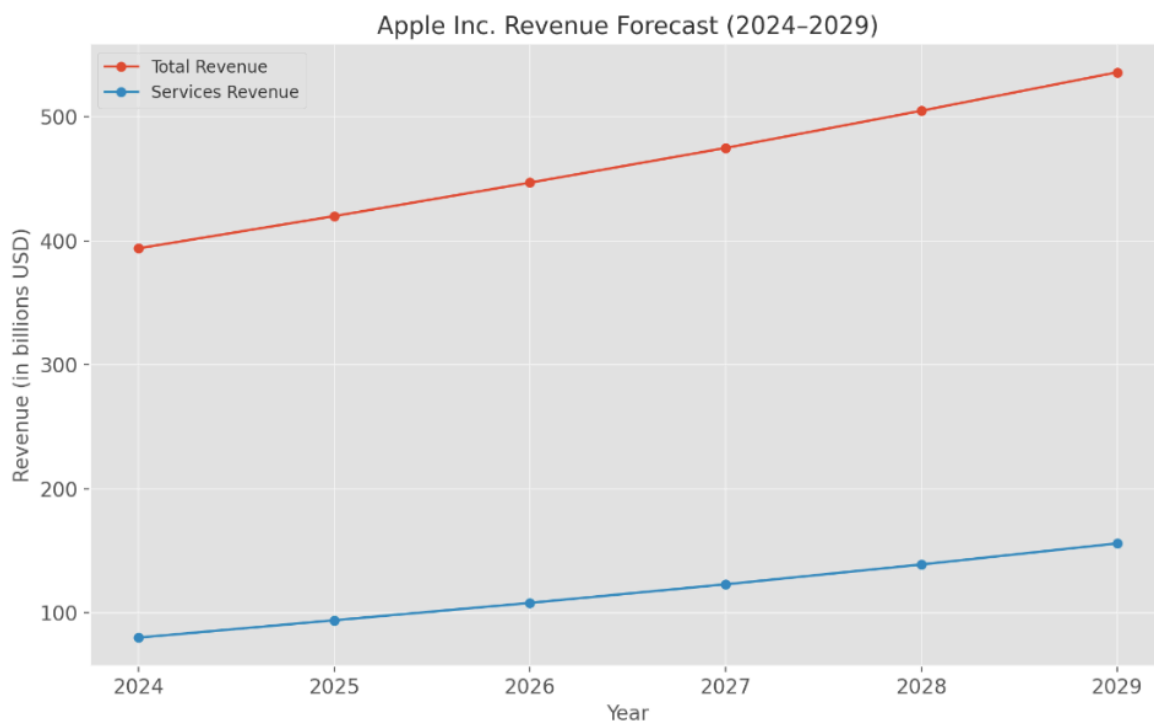


Figure 1: Line graph illustrating projected growth in total revenue and high-margin services revenue.

#### *PE Multiple Valuation*

- **Forward EPS (FY2025E):** \$7.10
- **Target PE Multiple:** 30x (reflecting Apple's consistent cash generation, premium brand equity, and strong balance sheet)
- **Implied Valuation:** \$213 per share

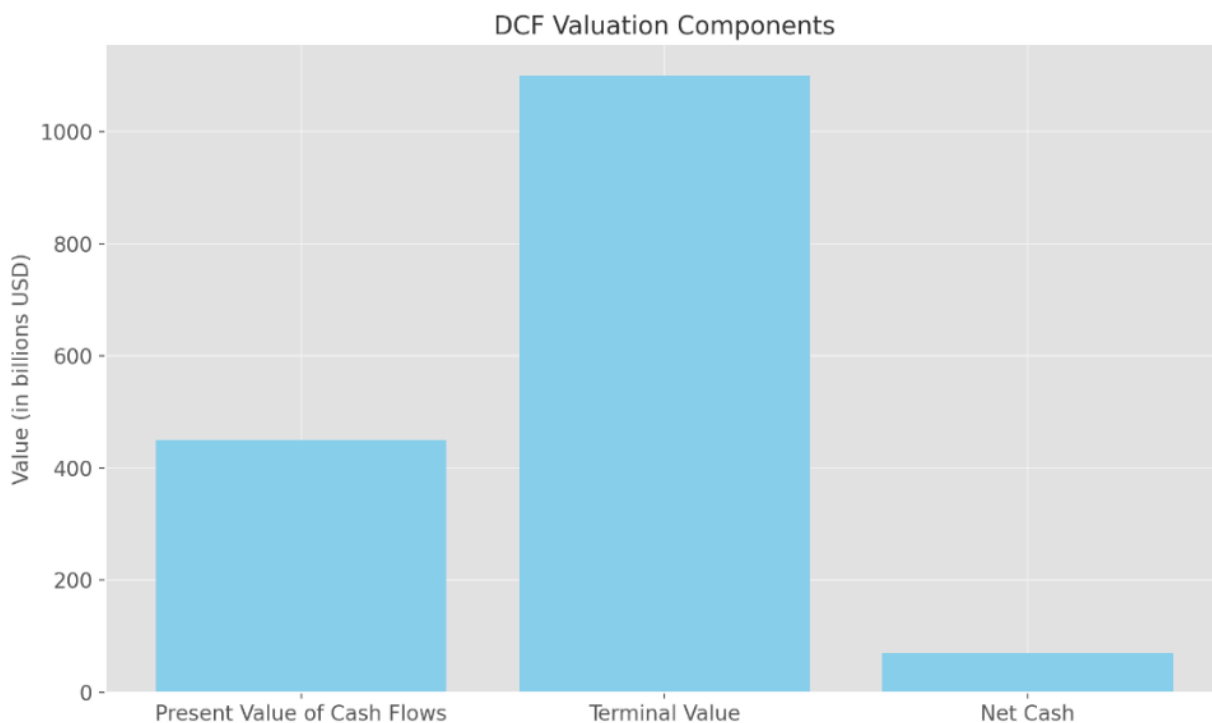


Figure 2: Breaks down how the intrinsic value of \$215 per share is derived from present cash flows, terminal value, and net cash.

Both methodologies converge around a fair value of **\$213–\$215**, reinforcing our *Buy* rating.

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## Catalysts

### 1. iPhone 17 Launch (Fall 2025):

- iPhone 17 will probably introduce significant design changes and AI-focused features (e.g., on-device LLM integration).
- Supercycle expected, with strong upgrade demand from iPhone 12/13 owners and first-time buyers in emerging markets.
- Supply chain improvements in India and Vietnam may improve margins.

### 2. Services Revenue Growth:

- Apple Services (App Store, iCloud, Music, TV+, etc.) have increased to double digits and now account for over 20% of total revenue.
- Services have gross margins of >70%, underpinning profitability as well as the quality of earnings.

- Apple's growing installed base (2.2B+ active devices) is a services monetization structural tailwind.

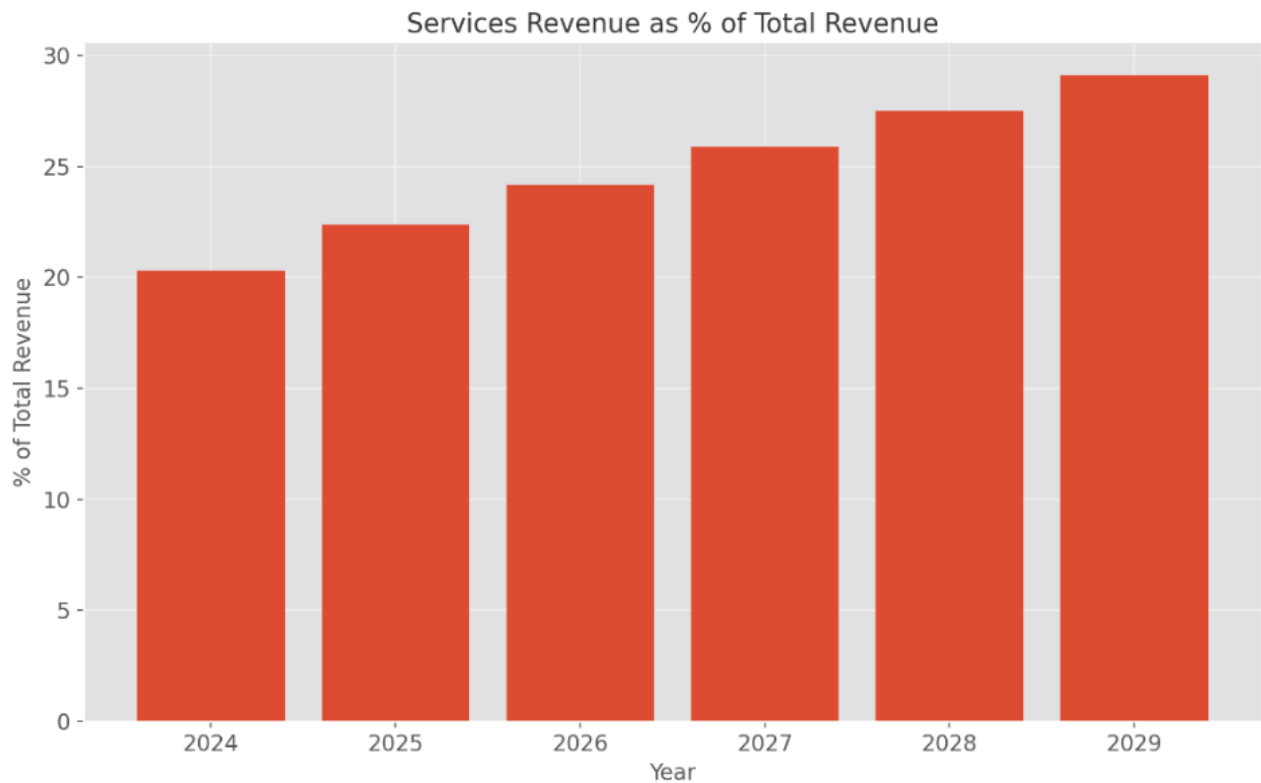


Figure 3: Bar chart highlighting the increasing contribution of services, enhancing profitability.

### 3. Capital Returns:

- Continuous share buybacks (authorized \$90B+) and dividend increases offer downside protection and compounding over the long term.

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## Risks

### 1. Regulatory Scrutiny:

- Apple's App Store conduct is coming under increasing antitrust pressure in the U.S., EU, and Asia.
- Regulatory demands to open up iOS to third-party app stores or payments may pressure services revenue.
- Potential fines or structural changes to business models would usher in margin compression.

## **2. China Exposure:**

- Apple remains significantly reliant on Chinese manufacturing and consumer demand.
- Geopolitical tensions or regional brand loyalties (e.g., Huawei resurgence) cause headwinds.

## **3. Innovation Plateau:**

- Growth may plateau if new product launches (e.g., iPhone 17, Vision Pro launch) are disappointing.

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## **Conclusion**

Apple remains one of the strongest and most innovative firms globally, with an unmatched ecosystem of hardware, software, and services. Its bulletproof balance sheet, free cash flow generation, and growth in high-margin services make it a core holding in every portfolio. With our PE and DCF models, we provide a 12-month target price of \$215 and rate Apple a Buy.